



REPUBLIC OF THE PHILIPPINES
TARIFF COMMISSION

BRIEFER:
REPUBLIC ACT (RA)
NO. 8752, OR THE
ANTI-DUMPING ACT
OF 1999
(SECTION 711 OF
RA NO. 10863)



BRIEFER:

RA NO. 8752, OR THE ANTI-DUMPING ACT OF 1999 (SECTION 711 OF RA NO. 10863)

DUMPING is a form of price discrimination between two national markets. It occurs when goods are exported at prices lower than home-market prices.

It is legal under World Trade Organization (WTO) rules unless its injurious effect on the importing country's producers can be established.

ANTI-DUMPING MEASURE

Trade remedy measure adopted by the government to protect a domestic industry against the unfair trade practice of dumping

ANTI-DUMPING DUTY

Imposed on the importation of a dumped product



WHO MAY FILE AN APPLICATION FOR THE IMPOSITION OF ANTI-DUMPING MEASURE?

Any natural or juridical person representing a domestic industry may file a written application with the DA (agricultural goods) or the DTI (industrial products).

In special circumstances, the Secretary of DA or DTI may initiate an anti-dumping investigation without having received an application from a domestic industry if there is sufficient evidence to justify the initiation.



ROLE OF THE TARIFF COMMISSION IN ANTI-DUMPING INVESTIGATIONS

- Conducts formal investigations of the anti-dumping cases endorsed by the DA (for agricultural goods) or the DTI (for industrial products) following positive preliminary findings
- Conducts (a) Interim or Changed Circumstances Review, (b) Accelerated or New Shipper's Review, and (c) Expiry or Sunset Review



FILING FEES

TC's schedule of fees and charges is prescribed in **Office Memorandum No. 18-010**.

Filing Fee	PHP 40,000.00
Legal Research Fund	PHP 400.00

Republic Act (RA) No. 8752, otherwise known as the "**Anti-Dumping Act of 1999**," was signed on 12 August 1999 and took effect on 04 September 1999. Its provisions were adopted in Section 711 of RA No. 10863, or the "*Customs Modernization and Tariff Act*".

ELEMENTS FOR THE IMPOSITION OF AN ANTI-DUMPING MEASURE

In an anti-dumping petition, all four elements must be established.



LIKE PRODUCTS

Goods that are identical or have characteristics closely resembling the product under consideration



PRICE DIFFERENCE

Amount by which the normal value in the exporting country exceeds the export price in the importing country



INJURY

Refers to material injury or threat thereof to a domestic industry, or the material retardation of the establishment of a domestic industry



CAUSAL LINK

Refers to the causal relationship which must exist between the dumped imports and the injury to the affected domestic industry

Resources

TC Website

www.tariffcommission.gov.ph

TC Citizen's Charter

Detailed checklist and step-by-step procedures available on the TC website

Commission Order No. 2021-01

Revised Rules of Procedure for the Conduct of Formal Investigations Pursuant to Republic Act No. 8752

1. What is dumping?

Dumping is a form of price discrimination between two national markets. Dumping occurs when an exporter sells his products at a price that is lower in the foreign importing market than the price charged in the exporter's domestic market, or at prices below cost of production, and such sales injure or threaten to injure a domestic industry in the importing country producing like or comparable products or retards the establishment of a potential industry in said importing country.

Dumping is legal under World Trade Organization (WTO) rules unless its injurious effect on the importing country's producers can be established.

2. What is a dumped import/product?

A dumped import/product refers to any product, commodity or article of commerce introduced into the Philippines at an export price less than its normal value in the ordinary course of trade, for the like product, commodity or article destined for consumption in the exporting country, which is causing or is threatening to cause material injury to a Philippine industry, or materially retarding the establishment of a domestic industry producing the like product.

3. What is an anti-dumping measure? An anti-dumping duty?

An anti-dumping measure refers to a trade remedy measure adopted by the government to protect a domestic industry against the unfair trade practice of dumping.

On the other hand, an anti-dumping duty refers to a duty imposed on the importation of a dumped product. The difference between the export price and the normal value of such dumped product is the dumping margin.

4. What is the domestic law on the application of anti-dumping measures?

Republic Act (RA) No. 8752, otherwise known as the "*Anti-Dumping Act of 1999*," which amended Section 301 of the Tariff and Customs Code of the Philippines, as amended, provides protection to a domestic industry which is being injured, or is likely to be injured, by the dumping of products imported into or sold in the Philippines.

RA No. 8752 was signed on 12 August 1999 and took effect on 04 September 1999. Its provisions were adopted in Section 711 of RA No. 10863, or the "*Customs Modernization and Tariff Act*".

5. What are the elements for the imposition of an anti-dumping measure?

There are four elements, namely:

- a. *Like Product* - product produced by the domestic industry which is identical or alike in all respects to the article under consideration, or in the absence of such a product, another product which, although not alike in all respects, has characteristics closely resembling those of the product under consideration;
- b. *Price Difference* - amount by which the normal value (the price prevailing in the exporting country) exceeds the export price (selling price to an importer in the Philippines);

- c. *Injury* – refers to material injury or the threat thereof to a domestic industry, or the material retardation of the establishment of a domestic industry; the determination of material injury or threat thereof shall be determined on the basis of positive evidence and requires an objective examination of, among others, (a) the rate of increase and amount of dumped imports, either in absolute terms or relative to production or consumption in the domestic market, (b) the effect of the dumped imports on the prices of the like product in the domestic market, and (c) the effect of the dumped imports on the domestic producers or the resulting retardation of the establishment of a domestic industry manufacturing like product; and
- d. *Causal Link* – refers to the causal relationship which must exist between the dumped imports and the material injury or the threat thereof to the affected domestic industry, or the material retardation of the establishment of a domestic industry

In an anti-dumping petition, all four elements must be established.

6. Who may file an application for the imposition of anti-dumping measure?

Any person, whether natural or juridical, representing a domestic industry, may file a written application with the Department of Agriculture (DA), for agricultural goods, or with the Department of Trade and Industry (DTI), for industrial products. The application shall include evidence of dumping, injury, and the causal link between the dumped imports and the alleged injury.

In special circumstances, the Secretary of the DA or the DTI may initiate an anti-dumping investigation without having received a written application by or on behalf of a domestic industry, but shall proceed only if he/she has sufficient evidence of dumping, injury, and a causal link to justify the initiation of an investigation.

7. What is the role of the Tariff Commission in anti-dumping investigations?

The Tariff Commission (TC) conducts formal investigations of the anti-dumping cases endorsed to it by the DA (for agricultural goods) or the DTI (for industrial products). To note, RA No. 8752 provides that the DA and the DTI shall undertake a preliminary determination and shall endorse the case to the TC for formal investigation when their preliminary findings are positive.

The TC submits a Report to the Secretary of the DA or the DTI containing its final and executory decisions on petitions for the imposition of definitive anti-dumping measures. In case of affirmative findings, the concerned Secretary issues a Department Order imposing a definitive anti-dumping duty.

The TC also conducts the formal investigations on the following:

- a. *Interim or Changed Circumstances Review* – conducted by the TC *motu proprio*, or upon the direction of the Secretary, or upon petition of any interested party, to determine whether (i) the need for the continued imposition of the anti-dumping duty is no longer necessary to offset dumping taking into consideration the need to protect the existing domestic industry; or (ii) the existing duty is not sufficient to counteract the dumping which is causing injury; at least one year should have elapsed since the imposition of the anti-dumping duty before an interim review can be initiated;
- a. *Accelerated or New Shipper's Review* - carried out on an accelerated basis for the purpose of determining individual margins of dumping for new exporters (new shippers) in the exporting country in question which have not exported the product during the period of investigation on which the measures were based; the new foreign exporters requesting for such review must not be related to any foreign exporter who is subject to

the anti-dumping duty; and

- c. *Expiry or Sunset Review* - may be initiated by any interested party or upon the Commission's initiative at least six months prior to the termination/expiry date of the imposition of the anti-dumping duty to determine whether the termination/expiry of the anti-dumping duty would likely lead to a continuation or recurrence of dumping and injury.

8. *Are there fees to be paid by petitioners in the formal investigation by the TC of an anti-dumping case?*

The TC's schedule of fees and charges is prescribed in Office Memorandum No. 18-010. Formal investigations on petitions for the imposition of anti-dumping measure, interim review, new shipper's review and expiry review are subject to a Filing Fee of Forty Thousand Pesos (PHP 40,000.00) and Legal Research Fund Fee of Four Hundred Pesos (PHP 400.00) per case.

9. *What is the timetable for the completion of a formal investigation by the TC?*

The TC shall submit within one hundred twenty (120) calendar days from receipt of the case its Final Report of Findings and Decision to the Secretary of Trade and Industry (in the case of industrial goods) or to the Secretary of Agriculture (in the case of agricultural products), for the issuance of the appropriate Department Order.

10. *How is an anti-dumping investigation conducted by the TC?*

The TC's rules of procedure in the conduct of a formal investigation in an anti-dumping case are contained in Commission Order No. 2021-01 entitled "*Revised Rules of Procedure for the Conduct of Formal Investigations Pursuant to Republic Act No. 8752*". The checklist of requirements and the step-by-step procedure can also be found in the TC Citizen's Charter. The Order and the Citizen's Charter are on the TC website.